24.8 per cent during 1980–89 and then rose somewhat in the next two decades—to 25.1 per cent during 1990–99 and 2000–09. In the second decade (2010–2018), the domestic savings rate fell slightly to 25.1 per cent. Global domestic savings rates have averaged 25 per cent, almost unchanged, for the past fifty years.

However, growth engines have shifted dramatically from 1960 to 2018. The report divides Asia in two blocks: Developed Asia (Japan and Australia) and Developing Asia (the rest of Asia). Developing Asia had a domestic savings rate of only 18 per cent in 1960–69, whereas Developed Asia had a domestic savings rate of 30.5 per cent. Asia, inclusive of China and India, was hardly saving and investing in the 1960s although some smaller countries like South Korea and Taiwan had started their investment-led growth journeys.

In the 1970s, Japan had a sterling savings rate of 37 per cent and the Organisation for Economic Co-operation and Development (OECD) countries had a strong rates of 25.2 per cent. Besides Developing Asia, other developing regions, like Latin America, also had a low domestic savings rate of about 20 per cent. Developing Asia started taking off in the 1970s; by the 1990s, the global growth engine had shifted to Asia, reflected in very high domestic savings and investment rates. Developing Asia recorded a domestic savings rate of 24.9 per cent in 1970–1979, 27.4 per cent in 1980–1989, 32.9 per cent in 1990–1999, 36.6 per cent in 2000–2009 and 41.0 per cent in 2010–2018.

These blockbuster rates, exceeding 40 per cent in the second decade of the twenty-first century, were almost double the savings rate of all other regions during this period (23.4 per cent Developed Asia; 21.4 per cent OECD; 20.2 per cent Sub-Saharan Africa; and 19.8 per cent Latin America). Not surprisingly, Developing Asia contributed more than 60 per cent of global growth in 2019 in terms of purchasing power parity (PPP).